

# Delivery Performance & Review Risk

Brazilian e-commerce marketplace · 95,824 delivered orders · \$15.3M GMV

## BOTTOM LINE

Late delivery is the single biggest driver of 1-star reviews. It affects only 8% of orders, but those orders carry \$484K of revenue and are 7x more likely to be rated 1 star.

### LATE DELIVERY RATE

**8.0%**

7,661 orders past promise

### 1-STAR RATE IF LATE

**46.2%**

vs 6.6% when on time

### REVENUE AT RISK

**\$484K**

3.2% of total GMV

### RECOVERABLE

**\$397K**

with a 3-day promise buffer

## Three findings

### 1 The damage is not linear — there is a cliff after day 3

Orders delivered 1–3 days late get a 13.8% 1-star rate. Past day 3 it jumps to 53%, and past day 7 it reaches 69%. Buyers tolerate a small slip; they do not tolerate a large one. The promised date is currently set too tight.

**Action: add a 3-day buffer to the promised date → ~2,485 fewer 1-star reviews, \$397K of GMV protected**

### 2 The delay is in carrier transit, not seller handling

On late orders, sellers take 5.3 days to hand the parcel to the carrier versus 2.6 on on-time orders — 2.7 extra days. Carrier transit takes 25.7 days versus 7.9 — 17.8 extra days. The carrier accounts for 87% of the gap. 8.7% of all orders spend more than 20 days in transit.

**Action: audit carrier SLAs by lane before pressuring sellers → root cause of 87% of the delay**

### 3 Late-delivery spikes are seasonal and predictable

The late rate is normally 3–5%. It spiked to 14% in November 2017 (Black Friday) and 16–21% in February–March 2018, pulling the average review score from 4.31 down to 3.81. Those four months alone account for 43% of all late orders in the period.

**Action: pre-book carrier capacity for Nov and Feb–Mar → the spikes are known in advance, not random**

## Supporting detail

| DELIVERY VS. PROMISED DATE | ORDERS       | AVG SCORE   | 1-STAR RATE  | REVENUE       |
|----------------------------|--------------|-------------|--------------|---------------|
| 3+ days early              | 83,458       | 4.30        | 6.5%         | \$13.3M       |
| 0–3 days early             | 4,705        | 4.13        | 7.9%         | \$684K        |
| 1–3 days late              | 2,636        | 3.77        | 13.8%        | \$415K        |
| <b>4–7 days late</b>       | <b>1,773</b> | <b>2.32</b> | <b>53.0%</b> | <b>\$307K</b> |
| <b>8–15 days late</b>      | <b>1,917</b> | <b>1.73</b> | <b>68.6%</b> | <b>\$345K</b> |
| <b>15+ days late</b>       | <b>1,335</b> | <b>1.72</b> | <b>69.0%</b> | <b>\$245K</b> |

Scope: delivered orders with a matched customer review. Revenue = item price + freight. Revenue at risk = excess 1-star orders attributable to lateness × \$159.56 AOV.  
Source: Olist Brazilian E-Commerce public dataset (99,441 orders, Sep 2016 – Oct 2018).